

1-5a Income Statement

The income statement reports the revenues and expenses for a period of time, based on the revenue and expense recognition principles. These principles match revenues and their related expenses so that they are reported in the same period. The excess of the revenue over the expenses is called

Note

When revenues exceed expenses, it is referred to as **net income**, **net profit**, or **earnings**. When expenses exceed revenues, it is referred to as **net loss**.

net income (The amount by which revenues exceed expenses.) , **net profit** (The amount by which revenues exceed expenses.) , or **earnings** (The amount by which revenues exceed expenses.) . If the expenses exceed the revenue, the excess is a **net loss** (The amount by which expenses exceed revenues.) .

Link to Twitter

For a recent year, **Twitter** reported net income of \$1,206 million.

The revenue and expenses for **NetSolutions** were shown in **Exhibit 6** as separate increases and decreases. Net income for a period increases the stockholders' equity (retained earnings) for the period. A net loss decreases stockholders' equity (retained earnings) for the period.

The revenue, expenses, and net income of \$3,050 for NetSolutions are reported on the income statement in **Exhibit 9**. The order in which the expenses are listed in the income statement varies among businesses. Most businesses list expenses in order of size, beginning with the larger items. Miscellaneous expense is usually shown as the last item, regardless of the amount.

Business Insight

Inclusivity

Investors and other business stakeholders are increasingly concerned not only about whether a company earns a net income, but also about a company's impact on society. For example, a company that practices inclusivity has as an objective

that every person should have equal rights, support, consideration, and opportunities to achieve their full potential. To achieve this objective, an inclusive company will enact policies and procedures that are accommodating and respectful of a person's race, ethnicity, sexual orientation, gender identity, physical abilities, religion, age, and culture.

Chapter 1: Introduction to Accounting and Business: 1-5a Income Statement

Book Title: Financial and Managerial Accounting

Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)

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